JPMorgan - bank accounting pilot

Dated 2026-10-06 | Focused evidence update | partial bank valuation; controlled arithmetic

Bank-specific substitution

A bank uses deposits and funding as part of its operating franchise. Customer-deposit inflows are not an operating-company owner free cash flow, and cash/debt adjustments from industrial-company enterprise value cannot be applied without regard to regulatory capital. Use equity earnings, tangible/common book and capital constraints.

The Q2 2026 supplement reports tangible book per share of $113.35; TBV excludes specified intangible claims and uses the tangible common-equity denominator. Use ROTCE with tangible book; do not mix ROE on total common equity with a tangible denominator. Reported quarterly ROTCE was 29%, but the release includes $4.6bn of Visa gains and $1bn of other investment gains; excluding significant items reduced net income from $21.2bn to $16.9bn. A quarterly annualisation is not a sustainable return. [j1 note2d; j2 pp2,10]

Illustrative long-run case	ROTCE / ke / g	Conditional value
Bear	14% / 11% / 3%	$155.86
Base	18% / 10% / 4%	$264.48
Bull	22% / 9% / 4%	$408.06

Value = TBV per share x (sustainable ROTCE - growth) / (equity cost - growth). Reinvestment fraction is growth / ROTCE. The arithmetic reproduces an equity residual-return / steady-state dividend relationship; it does not establish that regulators permit those distributions. These are analyst assumptions and dated June book inputs, not an October fair-value recommendation. The algebra assumes prospective return on opening TCE. Reported quarterly ROTCE uses average TCE; it is not transplanted into this model.

Capital and return constraints

Standardized estimated CET1 was 14.1%, down from 15.1% a year earlier. The supplement says the Advanced total-capital ratio was more binding than the Standardized total-capital ratio at June 2026. It does not rank that comparison against every CET1 or leverage requirement. Capital adequacy therefore cannot be represented solely by a percentage buffer in standardized CET1. Distribution analysis also needs the applicable requirements, risk-weighted-asset growth, leverage constraints, stress buffers and management policy. [j2 capital p9]

The Q2 declared dividend was $1.50 per share. Multiplying it by four is a run-rate observation, not a verified five-year cash-flow schedule. No current security quote, distribution forecast or dated bank-return model is approved in this focused pilot; price-specific prospective returns and entry prices are withheld. Generic dated-dividend/ownership arithmetic is separately tested with controlled fixtures.

The workbook retains the reported TBV and exposes the What-if sustainable ROTCE, equity cost and growth assumptions. The Base arithmetic is $264.48; changing the What-if ROTCE from 18% to 19% raises it to $283.37. Those results validate formula behaviour, not investment merit. Focused Astra review is complete, with capital-constrained returns and a complete bank valuation still withheld.

Finalized capital and within-cutoff updates

The August6 Form10-Q supersedes preliminary capital estimates: standardized CET1 is14.2%, versus July14.1%. Preserve each observation separately. Advanced total capital is the most binding disclosed BaselIII risk-based constraint, which does not rank every liquidity, subsidiary or management constraint. [j3 pp44,46; j4 Note21]

Advanced total capital USD346248m less15% of Advanced RWA USD2123862m gives USD27668.7m static headroom. This is a fixed-denominator diagnostic, not freely distributable cash; do not sum overlapping headroom or equate tangible equity with CET1. [j4]

September15 declared USD1.65/share payableOctober31, recordOctober6. The prior USD1.50 remains Q2 history. Annualising toUSD6.60 is a run-rate assumption, not five years of contracted receipts. Establish ex-dividend eligibility before attributing the payment to a new buyer. The USD50bn authorization is permission to repurchase, not completed spending. [j5; j6]

Finite capital and ownership arithmetic

This entire example is hypothetical, not a JPM forecast. Opening tangible equity USD1000m and10m shares; returns on opening equity14%,16%,18%,18%,18%; required equity growth6%,5%,4%,4%,4%; dividends4%,5%,6%,6%,6% of opening equity; residual earnings repurchase shares. Equity retention is an illustrative constraint, not a JPM regulatory capital calculation.

Year	Earnings / retention	Dividends / buybacks	Closing equity
1	140.000 / 60.000	40.000 / 40.000	1060.000
2	169.600 / 53.000	53.000 / 63.600	1113.000
3	200.340 / 44.520	66.780 / 89.040	1157.520
4	208.354 / 46.301	69.451 / 92.602	1203.821
5	216.688 / 48.153	72.229 / 96.306	1251.974

Each row reconciles opening equity + earnings - dividends - buybacks. At terminal return18%, growth4% and equity cost10%, continuing company equity is USD2921.272m. Assumed fair ex-dividend repurchases leave 8.714565m shares. Current PV is USD231.4786/original share and conditional horizon value USD335.2172/continuing share.

A continuing holder receives dividends and terminal proceeds, with no extra buyback yield. Their dated receipts reproduce current PV and give10% XIRR at PV; an assumedUSD200 entry gives13.3961%. Fair-value repurchases are a controlled neutral-price assumption, not a forecast or market-price calibration. The full machine-readable fixture and independent checks are archived with this run.

A real JPM model still needs finite common earnings, preferred costs, OCI, TCE and separate regulatory capital/RWA/exposure paths, buffers and management targets, dividend timing, buyback prices and ownership changes. Those foundations remain unvalidated; actual-company return and entry conclusions stay withheld.

Evidence appendix

j1 | Q2 2026 earnings release
Published: 2026-07-14 | filing | locations: headline / significant items note2d
Preservation: sources/2026-q2-release.htm

j2 | Q2 2026 financial supplement
Published: 2026-07-14 | filing | locations: capital p9; financial highlights p2; financial highlights p2; reconciliation p10
Preservation: sources/2026-q2-supplement.htm

j3 | Finalized Q2 2026 Form 10-Q
Published: 2026-08-06 | issuer-primary | locations: Capital Risk Management pp44,46-47,49; Note21 pp177-178
Preservation: sources\jpm-q2-10q.htm

j4 | Form 10-Q Note21 regulatory capital
Published: 2026-08-06 | issuer-primary | locations: Note21 regulatory capital extract
Preservation: sources\jpm-q2-regulatory-capital.htm

j5 | September common dividend declaration
Published: 2026-09-15 | issuer-primary | locations: Issuer declaration
Preservation: sources\jpm-september-dividend.htm

j6 | June dividend intention and buyback authorization
Published: 2026-06-24 | issuer-primary | locations: Issuer dividend intention and repurchase authorization
Preservation: sources\jpm-june-capital-authorization.htm